

spiked to over \$8 before settling in the \$4–5 range. Through UNI, Uniswap effectively crowdsourced capital to build and scale its business, which attained a unicorn valuation for a short time. This demonstrates the value the community places in the token and the platform because the majority of supply is still held by those who received the airdrop.

As evidence that Uniswap is a good idea, it has been largely copied by Sushiswap.²⁰ Furthermore, the CFMM has been generalized by Balancer,²¹ in which more than two markets can be supported in a liquidity pool. In addition, the assets can be arbitrarily weighted (currently, Uniswap requires equal value).²² Further, the liquidity pool creator sets the transactions fees.

As of March 2021, the Uniswap team released a timeline and upgrade plan for the Uniswap protocol. Termed Uniswap v3, the Uniswap team proposed several changes to the protocol's liquidity provisioning model, moving away from the constant product formula described earlier and toward a model that resembles an on-chain, limit order book.²³ This change increases Uniswap's flexibility, allowing users and liquidity providers to customize curves and more actively manage their liquidity positions/control their return profiles. Uniswap v3 was launched May 5, 2021 and, as of writing, the volume of trading on v3 has already exceeded the v2 volume.²⁴

Uniswap is critical infrastructure for DeFi applications; it is important to have exchanges operational whenever it is needed. Uniswap offers a unique approach for generating